

MODULE IV

INTELLECTUAL PROPERTY, PRIVACY AND CIVIL LIBERTIES

**Lesson 1 Intellectual Property
Protection**

**Lesson 2 Alternatives to Current
Intellectual Regimes**

Lesson 3 Privacy and Civil Liberties

Lesson 4 Freedom of Expression

Lesson 1



INTELLECTUAL PROPERTY (IP)

The issue of intellectual property rights has become one of the defining ethical issues of the digital era and the last word has not been said about it yet. Besides regulatory issues, grey areas, and gaps, one could argue it is one of the areas used by big companies in developed countries to disadvantage new entrants to the information society.

What is Intellectual Property Protection?

A more utilitarian approach is that IP is designed to promote progress, this is the view that is generally and historically favoured. Thus, there is a fair exchange for mutual benefit:

- Creator gets limited exclusive rights
- Society gets disclosure of inventions and creative works,

Thus an incentive is created for inventors and authors to create and disclose their work.

The types of intellectual property and their length of protection granted are:

Design Does not cover how the article functions (unlike patent) Protects the physical appearance of a manufactured object.

- Aesthetic Design — 15 years;
- Functional Design — 10 years

Copyright • Computer Programs and Data

- Computer program's "author" is the person who exercised control over the making of the computer program.

Trade Secrets — not really property — the law protects industrial secrets

Patents 20 years in South Africa, does not apply to software (yet)

Copyright

Copyright prevents others from copying original works without permission. It is granted for a limited time (50 years after death of author). It only protects the expression of an idea, and not the idea itself. There is often a fine distinction between the two. A copyrightable object must exist in a material form.

In general copyright infringement occurs where the copyrighted material of others is used for personal gain as opposed to private or personal use. Backup is allowed for personal use. Fair dealing is allowed for review, illustration in teaching, demonstration of equipment, ...

Copyright of programs lasts for 50 years after first made available to public — this is a very long time for software! The author of a computer program is the person who exercises control over the making of the program.

Trade Secrecy

Laws governing trade secrecy vary from country to country. The central idea is to grant companies the right to keep certain kinds of information secret (e.g. a secret recipe), with the aim of allowing them to keep a competitive edge.

In order for a piece of information to be considered trade secret, it must be possible to show that:

- It is novel
- Represents an economic investment to the claimant
- Has involved some effort in development
- The claimant has made some effort to keep it secret

Trade secrecy laws can be applied to software. This is usually done using non-disclosure clauses. Employees sign an agreement that they will not reveal secrets learnt at work even after they have left. There is often ambiguity here because the agreement does not apply to generic information in the area. Another application of this law is via licensing agreements. Software is licensed out and not sold – only the object code, and not the source code, is given to the user. The software company can do all the modification to suit the client and still retain control. The source code is in effect a trade secret.

Trademarks and Domains

Trademarks

Trademarks distinguish one person's goods or services from those of another. The rights exist either via common law or by registration. Registered Trademarks are perpetually renewable in periods of 10 years.

Domain Names

Domain Name System (DNS) is used instead of IP numbers. Generic Top Level Domain (gTLD) are ones such as .com, .net and .org + .aero; .biz; .coop; .info; .museum; .name; and .pro. (since 2000). This is all managed by ICANN (the Internet Corporation for Assigned Names and Numbers) which is a nonprofit organization responsible for the namespaces of the Internet.

Cybersquatting (or domain squatting), is when someone registers an Internet domain name in bad faith intending to profit from the good name of trademarks, famous people or businesses. The cybersquatter can then either sell the domain at an inflated price or use it to attract business.

Patents

This is potentially the strongest form of protection because a patent

- Gives the inventor monopoly on the use of the invention – even if someone else makes the same product in a different way, they are excluded from using it;
- Grants patent owner the right to licence others to make, sell, or use the invention;
- Legitimises a monopoly;
- Is granted for a limited number of years (20 in South Africa).

The main aim of the patents is not only to ensure the rights of the inventor, but also to advance useful arts and science. This will foster inventions and encourage others to learn from and build on inventions. It also promotes disclosure of inventions and assures that ideas already in the public domain remain there.

However, it must be noted that patent does not guarantee financial success. This is only achieved if the product is accepted by the market. Additionally one cannot patent an abstract idea, an algorithm or a scientific principle. To qualify for patent protection, the object in question must satisfy the following criteria:

- Falls into a category of permissible subject matter
- Satisfies the three tests of having utility, novelty, and non-obvious.

Scenarios

• Pirated Software from Abroad

Bernie works for a large consulting company. When he was on holiday in South East Asia he found an Office suit that looks identical to Microsoft Office. The package he found costs R50 compared to the price tag of R3000 back home. Bernie knew that the seller does not honour US copyright law. Despite the documentation looking like it has been photocopied, he decided to buy it and returned home with it.

- Do you think Bernie has done anything wrong?
- Do you think the customs will confiscate it should they find out?

Stealing an Idea

It is 1980 and Bingo software has just developed a new operating system called BOS. BOS is better than anything else around but Bingo is a small firm and needed venture

capital to start up. It spent 3 years bringing the product to the market, after which it launched and sold well for a year.

Bingo did not last long and went bankrupt within a year.

- Do you think that this is unfair?
- Has PPOS wronged Bingo?
- Have the customers wronged Bingo?

In Bingo's case, trade secrecy would have helped. Non-disclosure agreements would prevent employee from giving away important secrets even after they left. However, this might only be useful during development; once BOS is released, it is more difficult to control. General principles are there for everyone to see (and copied) – BOS is trying to sell or licence the software, something just can not be hidden.

- **Improving Software**

Earl develops a virus tester which is very good. It detects and repairs all known viruses. He makes the software and its source code available on the web for free and he also publishes an article on it. Jake reads the article and downloads a copy. He figures out how it works, downloads the source code and makes several changes to enhance it. After this, Jake sends Earl a copy of the modified software together with an explanation. Jake then puts a copy on the web, explains what he has done and gives appropriate credit to Earl.

- Discuss whether or not you think Earl or Jake has done anything wrong?

- **Protecting Software**

Consider the Bingo scenario whereby PPOS copies BOS and sells it more cheaply. PPOS is able to do that because its development costs were lower. It also seems unfair that PPOS used BOS without paying. What is the solution to this problem? One is to give Bingo legal exclusive right to its software.

There are currently three mechanisms to deal with scenarios like Bingo: copyright, trade secrecy and patent.